

BEFORE THE
FEDERAL MARITIME COMMISSION

PETITION NO. P4-16

PETITION OF THE COALITION FOR FAIR PORT PRACTICES FOR RULEMAKING

RESPONSE TO QUESTIONS FOR THE RECORD

by

THE COALITION FOR FAIR PORT PRACTICES

In a decision served January 18, 2018, modified by a decision served January 24, 2018, the Federal Maritime Commission (FMC) issued “Questions for the Record” following the hearing in this proceeding held on January 16 and 17, 2018. Commissioner Rebecca Dye presented post-hearing questions for the record to the Coalition for Fair Port Practices (“Coalition”). Below are the questions posed by Commissioner Dye to the Coalition and the Coalition’s responses.

1. **The Petition proposes policy guidance in terms of “*any event or circumstance that is beyond the control of the shipper, receiver or motor carrier.*” The commercial practices cited in the petitioners’ handout are presented in terms of “*the carrier is for any reason unable to deliver/tender cargo.*” In your view, are these concepts essentially similar/close substitutes?**

Response by Coalition

The Coalition regards the cited concepts as similar, though as pointed out by Commissioner Dye at the hearing, the commercial practices cited in the petitioners’ handout are broader than the proposed policy. Specifically, sections (b) and (c) of the proposed policy set forth two requirements for the extension of free time or inability of the carrier or marine terminal to assess demurrage or detention in the listed circumstances: the shipper, receiver or drayman

would have to show: (1) that the ocean common carrier (VOCC) or marine terminal operator (MTO) is “unable to tender cargo for delivery and/or to receive equipment (‘disability’)” and (2) “such disability is caused by any event or circumstance that is beyond the control of the shipper, receiver or motor carrier . . .” In contrast, as Commissioner Dye’s question correctly notes, the commercial practices cited in the Coalition’s handout are presented solely in terms of the first of the two prongs set forth in the proposed policy, namely that “the carrier is for any reason unable to deliver cargo.” See, *e.g.*, page 9 of handout, citing the CMA Tariff CMDU-100, Rule 100 and COSCO Tariff 201, Section 5. Thus, the carriers’ cited tariffs, which apply to the failure to tender cargo for delivery for any reason, are broader than the proposed policy, since the proposed policy, in addition to showing that the VOCC or MTO is unable to tender cargo for delivery or receive equipment, also requires the shipper, receiver or motor carrier to show that the disability was beyond its control. Nevertheless, the wording of the proposed policy is similar to the commercial practices in the handout, since both apply to the carriers’ inability to deliver cargo.

2. **If the petition request for FMC guidance that failure to extend free time when a carrier or MTO is unable to tender cargo or receive equipment would constitute an unreasonable practice were adopted, what practical impact (e.g., operational changes) would that require of BCO or drayage current business practices or operational processes?**

Response by Coalition

At the most general level, adoption by the FMC of the proposed policy would not require significant operational changes. In the modern just-in-time business and operational world, shippers and receivers absolutely depend upon a consistent and efficient logistics system: in common parlance, they want and indeed need to “get their stuff” promptly and efficiently. Indeed, delays in delivering cargo or accepting the return of equipment imposes costs on the shipper, receiver or drayman as its goods, personnel or equipment simply sit in the transportation chain.

Moreover, it should be emphasized that, as noted in the Coalition's Petition, "free time" is not "free": a reasonable time to pick up cargo is part of the carrier's transportation obligation, and is paid for by the shipper or receiver as a component of the transportation rates charged by the carrier. *See*, Coalition Petition, p. 25-26, and cases cited in footnotes 109 and 110.

The Coalition believes that adoption of the proposed policy would bring greater clarity and efficiency to the market. By setting out clear principles, the proposed policy would reduce the time and costs that shippers, receivers, draymen, carriers and MTOs currently expend in attempting to settle demurrage disputes, which occur frequently due to the lack of any standards that clarify unreasonable demurrage and detention practices. Staff and management of all companies involved will be able to focus on the improvement of processes, rather than on discussing and determining whether and in what circumstances free time should be extended when a carrier or MTO is unable to tender cargo for delivery or receive equipment.

Even more importantly, actual efficiencies would be promoted. During the hearing, the Commission heard frequent testimony concerning the time and expense incurred in trying to obtain appointments, in trying to pick up goods even after an appointment is obtained, or in fruitlessly waiting in line when congestion occurs. These things all happen because shippers, receivers and draymen are today faced with hard deadlines to get their cargo or return equipment before demurrage and detention are levied, and in many cases have to pay these charges up-front. Issuance of the proposed policy would encourage more efficient operations and more realistic scheduling practices, determined by whether the carrier or MTO can in fact deliver cargo or receive equipment.

Finally, however, issuance of the proposed policy would likely encourage changes in current business practices as shippers, receivers and draymen discuss and negotiate their

contracts with carriers and MTOs to make their contracts consistent with the new policy, and adopt operational changes to implement the efficiencies encouraged by the new policy.

3. What rail demurrage practices are relevant to the practices involving international ocean transportation?

Response by Coalition

In a decision served on April 11, 2014, the Surface Transportation Board (“Board” or “STB”) adopted final rules pertaining to who may charge demurrage and who is subject to demurrage. See, STB Docket No. EP 707, *Demurrage Liability*, decision served April 11, 2014, p. 1. As noted in the decision, demurrage in the rail industry is a charge for detaining rail cars for loading or unloading beyond a specified amount of time, called “free time.” *Id.*, p. 2. In the *Demurrage Liability* decision, the STB noted that demurrage has compensatory and penalty functions, to “encourage prompt return of rail cars into the transportation network.” *Id.*, p. 2. The Board also noted that it had jurisdiction over demurrage because 49 U.S.C § 10702 requires railroads to establish reasonable rates and transportation-related rules and practices. *Id.* In all of these respects, demurrage in the rail industry is similar to demurrage in the ocean transportation industry, although its application to the loading and unloading of rail cars makes it even more similar to detention and per diem assessed in the ocean transportation industry.

The STB initiated the proceeding and issued its rules in *Demurrage Liability* in part because two U.S. Courts of Appeals issued conflicting decisions in similar cases dealing with the liability for demurrage of warehousemen or other third-party intermediaries. *Id.*, pp. 3, 4. The legal debate and conflicting opinions prompted the Board to reexamine its existing policy “and to assist in providing clarification.” *Id.*, p. 5.

The Board’s decision in *Demurrage Liability* adopted final rules that are, in two respects, relevant to the FMC’s consideration of the Coalition’s Petition. First, the STB’s very issuance of

its decision adopting binding rules suggests that the Coalition's request for a non-binding policy statement is well within proper and indeed helpful agency practice. As the STB's decision notes, the purpose of its decision was to "assist in providing clarification" as to the proper treatment of demurrage, and the agency specifically noted that the purpose of one aspect of its decision was "intended to reduce disputes over demurrage practices by producing clear guidelines to the parties." *Id.*, pp. 5, 18. The STB further noted that an important purpose of its demurrage proceeding was "to promote uniformity in the area." *Id.*, p. 9. The Coalition strongly believes that FMC's issuance of a policy statement would be a proper and helpful action since it would similarly assist in reducing disputes by providing guidelines to parties in the commercial world.

Second, as a substantive matter, in its decision the STB issued rules for the payment of demurrage by certain third parties that were not based on the specific terms of the written bill of lading. *Id.*, pp. 13-15. Rather, the STB decided that it would "adopt[] a conduct-based approach to demurrage in lieu of one based on the written terms of the bill of lading." *Id.*, pp. 14-15. In other words, the STB's demurrage rules take account of conduct that indicates which party should be more responsible for the delays in loading or unloading rail cars. The STB's shift to a "conduct-based" rather than "contract-based" approach provides a useful principle for the Commission as it considers demurrage and detention practices by VOCCs and MTOs. The Coalition's proposed policy focuses similarly on the actual factual situation that gives rise to port delays in determining whether a demurrage practice is unreasonable. Thus, it is more like a conduct-based approach: it considers whether a container is in fact available for pick-up during the stated free time, rather than simply applying the demurrage rules without consideration of whether the carrier can actually tender the cargo or receive equipment.

4. **If free time is extended, what commercial practices, include service contracting approaches, would U.S. shippers make to assure that cargo moves promptly through U.S. ports to final destination? (For example, not using terminals for cargo storage.)**

Response by Coalition

As noted in the response to Question #2, shippers, receivers and draymen today have huge incentives to pick up cargo as quickly as possible, and depend upon a consistent and efficient logistics system to do so. Delays impose major costs on shippers, receivers and draymen: the Coalition believes that the use of terminals as cargo storage is not a general current practice or desire. Moreover, it must be emphasized that the proposed policy statement would not extend a new or extra gratuity to shippers, receivers and draymen when cargo cannot be picked up or equipment returned during the free time period: rather, it would allow them to obtain the already-contracted-for free time paid for as part of the transportation rate in a circumstance where the carrier or MTO is “unable to tender cargo for deliver and or to receive equipment” for reasons beyond the shipper/receiver/drayman’s control.

With this in mind, however, if the proposed policy is adopted, the Coalition believes that all parties would likely examine their existing service contracts in light of the new policy. In a business setting, parties would likely discuss conforming their contracts to the purposes of the new policy, taking into account the facts and circumstances of the transportation requirements of the goods and equipment under discussion. As part of these discussions, it would be expected that shippers, receivers and draymen would consider requests for commercially reasonable efforts to remove cargo or return equipment efficiently, given the costs of delay to BCOs and dray operators and their desire for an efficient ocean transportation system.

5. Please explain the legal responsibility to tender cargo and how that is discharged in U.S. ports today?

Response by Coalition

Carriers have a legal duty to tender cargo for delivery and must offer a reasonable free time period for the pickup of cargo, absent a contrary special contract. Courts and the Commission have long held that this duty is part of the carrier's transportation obligation. *E.g.*, *Ex parte Easton*, 95 U.S. 68, 75 (1877); *The Eddy*, 72 U.S. 481, 495 (1867); *Am. President Lines, Ltd. v. Fed. Mar. Bd.*, 317 F.2d 887, 888 (D.C. Cir. 1962); *Boston Shipping Ass'n v. Port of Boston Marine Terminal Ass'n*, 10 F.M.C. 409, 415 (1967); *Investigation of Free Time Practices—Port of San Diego*, 9 F.M.C. 525, 539 (1966). Because this duty to tender cargo for the free time period is part of the carrier's transportation obligation, for which the carrier charges the shipper, the Commission has recognized that free time is not free. *San Diego*, 9 F.M.C. at 539.

The duty to tender cargo for delivery includes unloading cargo, making it accessible to the consignee, and affording the consignee a reasonable opportunity to remove it. *The Eddy*, 72 U.S. 481, 495 (1867); *Am. President Lines, Ltd. v. Fed. Mar. Bd.*, 317 F.2d 887, 888 (D.C. Cir. 1962). Thus, to satisfy the duty to tender cargo for delivery, a carrier must provide: (1) a reasonable period to pick up the cargo; and, (2) terminal facilities that are adequate to render this period meaningful. *San Diego*, 9 F.M.C. at 539. A reasonable period to pick up cargo is one that is realistically designed to allow the consignee sufficient time to pick up its cargo, taking into account physical limitations of the facilities, anticipated delays, etc. *San Diego*, 9 F.M.C. at 539. Terminal facilities are adequate if they are sufficient to make the free time period meaningful and realistic. *Boston Shipping Ass'n v. Port of Boston Marine Terminal Ass'n*, 10 F.M.C. 409,

415-16 (1967). There must be a convenient and safe place for a consignee to accept delivery. *Id.* at 415.

Carriers may, and often do, engage a terminal to fulfill their obligation to provide adequate terminal facilities, but a carrier cannot divest itself of this obligation and the terminal is bound by the same limitations as the carrier. *Id.* Where a carrier engages a terminal to fulfill its obligation, the terminal “is in effect the agent of the carrier.” *Id.* Also, the terminal operator is bound by the same limitations as the carrier in fulfilling the carrier’s duty to tender cargo for delivery. *San Diego*, 9 F.M.C. at 539. Thus, in such situation, the terminal operator assumes, as a matter of law, the carrier’s duty to provide efficient terminal facilities and an adequate free time period. *Id.* at 540.

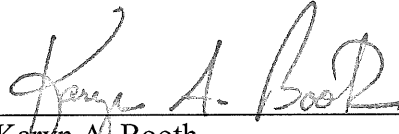
With respect to the question of how that the legal duty to tender cargo is discharged in U.S. ports today, the actual general process relating to the movement of containerized cargo for ocean-borne import into and export from the United States was described in the Commission Staff Report on Detention, Demurrage and Free Time dated April 3, 2015, pp. 5-20. However, as noted in the Staff Report, it is extremely difficult to make generalizations, since there is no uniformity in process. See, Staff Report, p. 9 (“The six VOCC tariffs examined for this report reveal that there is little standardization of practices among them”). Indeed, from the Coalition’s point of view, every MTO and VOCC has its own method of notifying the shipper or drayman when cargo is available. This situation was also discussed in the Final Report of the Supply Chain Innovation Teams Initiative headed by Commissioner Dye, which accurately noted the “diverse port and terminal business models” that exist today and the difficulty that shippers have in receiving timely and accurate information about the status of their containers. See, Final Report, FMC Supply Chain Innovation Teams Initiative, December 5, 2017, pp. 4, 18.

Moreover, the filings of many parties in this proceeding and testimony at the hearing indicate that there are many circumstances in which the obligation to tender cargo for delivery during the free time period is not being met, as congestion caused by a wide variety of circumstances make the pickup and drop-off of containers difficult, expensive and inefficient.

Respectfully Submitted,

THE COALITION FOR FAIR PORT PRACTICES

By Its Attorneys

A handwritten signature in dark ink, appearing to read "Karyn A. Booth", is written over a horizontal line.

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